Report To Shareholders
Management's Discussion and Analysis

Financial Overview

Financial and operational highlights include:

- Significant margin compression due to rising wheat prices
- Adjusted earnings per share of $0.52 compared to $0.76 last year
- Fresh Bakery adjusted operating earnings down 42%
- Frozen Bakery adjusted operating earnings down 14%

Note: *All earnings measures are defined as earnings before restructuring and other related costs. All earnings per share measures are defined as earnings per share before restructuring and other related costs.*

The continued rise in wheat prices together with the increase in prices of other commodities, such as fuel and general inflation, has had a significant short-term impact on margins and financial results. The Company expects to recover these costs and restore margins through ongoing pricing and cost reduction initiatives, although there will be a lag effect as the Company works with its customers to manage the flow-through of these price increases.

Sales for the first quarter increased 7% to $382.9 million compared to the same period last year due to higher selling prices across all the bakery businesses, partly offset by a small volume decline in the fresh bread business.

Earnings from operations before restructuring and other related costs ("Adjusted Operating Earnings") decreased by 35% to $19.5 million compared to $30.0 million last year. Virtually all of the variance from last year was due to margin compression across the bakery businesses as unprecedented and rapid increases in wheat prices have outpaced price increases the Company implemented in 2007 and in March 2008. The price of wheat and other inputs remain high and further price increases may be necessary to restore margins. As any additional price increases will not be effective from the beginning of the second quarter, Management expects continued negative impact on earnings in the short term. However, margins are expected to recover towards the end of the year.

Net earnings before restructuring and other related costs for the first quarter were $13.1 million ($0.52 per share) compared to $19.4 million ($0.76 per share) in 2007.

Following is a summary of net earnings and earnings per share ("EPS") before restructuring and other related costs ("Adjusted EPS"):

($ millions)	First Quarter		
	2008	2007	Change
Net Earnings	**$ 12.2**	$ 17.9	(32)%
Restructuring and other related costs, net of tax	**0.9**	1.5	(40)%
Net earnings before restructuring and other related costs (i)	**$ 13.1**	$ 19.4	(32)%
Adjusted EPS (i)	**$ 0.52**	$ 0.76	(32)%

(i) *These are not recognized measures under Canadian GAAP. Management believes that this is the most appropriate basis on which to evaluate results, as restructuring and other related costs are not representative of continuing operations.*

Business Segment Review

The following table summarizes Adjusted Operating Earnings by business segment:

($ millions)	First Quarter		
	2008	2007	Change
Fresh Bakery	**$ 12.7**	$ 22.0	(42)%
Frozen Bakery	**6.9**	8.0	(14)%
	$ 19.5	$ 30.0	(35)%

Note: *This table does not add due to rounding.*

Fresh Bakery *(Fresh bakery products, specialty baked goods and hand-held snacks, and fresh pasta and sauces)*

Fresh Bakery sales for the first quarter increased 8% to $237.2 million compared to $219.2 million last year, largely due to the benefit of price increases implemented over the past year. This was partially offset by a small volume decline in the fresh bread business.

Adjusted Operating Earnings decreased by 42% to $12.7 million compared to $22.0 million last year. The decline was driven by margin compression as price increases for fresh bread and pasta did not keep pace with the speed or magnitude of wheat and other commodity cost increases. Fresh Bakery also incurred increased costs related to marketing new products impacted earnings.

In the first quarter of 2008, the Company completed the purchase of Aliments Martel Inc., a leading manufacturer and distributor of sandwiches, meals and sweet goods based in Quebec. This was an important strategic acquisition to increase market share and manufacturing and distribution capacity in the Canada sandwich market, which represents an important growth platform for the Company. With this acquisition, Canada Bread has become the national leader in the Canadian pre-packaged sandwich market.

Frozen Bakery *(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)*

Frozen Bakery sales in the first quarter increased 5% to $145.6 million from $139.2 million last year. Increased prices and volume in the U.K. bakery offset the decline in U.S. frozen sales related to the relative decline in the U.S. dollar.

Adjusted Operating Earnings for the quarter decreased by 14% to $6.9 million from $8.0 million last year. Bakery earnings in the U.K. increased marginally over the prior year driven by higher volumes but this was offset by margin compression due to wheat and other inflation factors in the North American frozen business.

In the quarter, the Company announced that it will be closing one of its bagel plants in Toronto in the fall of 2008. This closure will increase capacity utilization at its other plants in the Toronto area. Some production will also be transferred to its facility in Roanoke, Virginia, which will bring production closer to its customers. This is part of the Company's strategy to increase profitability in its North American frozen bakery business.

Gross Margin

Gross margin decreased by $9.3 million to $65.2 million from $74.5 million last year. Margin compression was driven by the increase in wheat prices and other commodities, such as fuel and general inflation.

Restructuring and Other Related Costs

During the first quarter of 2008, the Company recorded a charge for restructuring and other related costs of $1.3 million (2007: $2.2 million). These restructuring costs are related to the closure of a bagel facility in Toronto that is scheduled to occur in the fall of 2008.

Cash Flow and Financing

Cash flow from operating activities was $0.6 million for the first quarter compared to $19.9 million in the prior year period resulting from reduced net earnings and an increased investment in working capital, primarily accounts receivable due to increased sales and inventory due to higher wheat costs.

Interest expense for the first quarter increased to $1.8 million compared to $1.3 million last year. The variance was driven by a decline in interest income generated by the Company's five-year cross-currency swap, which matured and was settled on January 1, 2008. This settled swap generated interest income of $1.0 million in the first quarter of 2007. The decline in interest income was partially offset by a decrease in interest expense as a result of reduced debt levels.

Capital expenditures on plant and equipment for the first quarter were $8.6 million compared to $11.7 million last year.

Acquisitions and Divestitures

On January 29, 2008, the Company acquired the shares of Aliments Martel Inc., a leading manufacturer and distributor of sandwiches, meals and sweet goods based in Quebec, for an initial purchase price of $43.4 million plus contingent consideration of up to $23.0 million based on financial performance for the three years following the acquisition date.

Taxes

The Company's effective tax rate decreased from 33.71% in the first quarter of 2007 to 26.2%. This decrease in rates was related primarily to two factors: (i) a decrease in Canadian federal tax rates enacted in December 2007, and (ii) a greater proportion of earnings attributable to a lower rate.

Summary of Quarterly Results

The following is a summary of unaudited quarterly financial information for the five interim periods ended March 31, 2008 (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Total
Sales	**2008**	**$ 382,869**				
	2007	358,337	$ 375,723	$ 385,849	$ 393,270	$1,513,179
Net earnings	**2008**	**$ 12,211**				
	2007	17,910	$ 21,225	$ 21,087	$ 23,529	$ 83,751
Earnings per share						
Basic EPS	**2008**	**$ 0.48**				
	2007	0.70	$ 0.84	$ 0.83	$ 0.93	$ 3.30
Adjusted EPS [1]	**2008**	**$ 0.52**				
	2007	0.76	$ 0.84	$ 0.83	$ 0.88	$ 3.31
Diluted EPS	**2008**	**$ 0.48**				
	2007	0.70	$ 0.84	$ 0.83	$ 0.93	$ 3.30

(1) *Earnings per share before restructuring and other related costs and certain non-recurring tax adjustments.*

For an explanation and analysis of quarterly results, refer to Management's Discussion & Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

Changes in Accounting Policies

In May 2007, the Accounting Standards Board issued CICA Handbook Section 3031, "Inventories". The standard introduces changes to the measurement and disclosure of inventory and is consistent with international accounting standards. The Company adopted the measurement provisions of the standard effective January 1, 2008. The adoption of the standard did not have a material impact on the results of operations or measurement of inventory.

In 2006, the Accounting Standards Board issued CICA Handbook Section 3862, "Financial Instruments – Disclosure" and Section 3863, "Financial Instruments – Presentation" which replaces Section 3861, "Financial Instruments – Disclosure and Presentation". The new disclosure standards require increased disclosure of risks associated with recognized and unrecognized financial instruments and how those risks are managed. The standards carry forward the former presentation requirements of Section 3861. The Company has complied with the new disclosure requirements beginning in 2008.

In October 2006, the Accounting Standards Board issued CICA Handbook Section 1535, "Capital Disclosures", which establishes standards for disclosing information about an entity's capital and how it is managed. The Company has complied with the new disclosure requirements beginning in 2008.

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to our objectives and goals, as well as statements with respect to our beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate", and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict. Therefore, actual outcomes and results may differ materially from what is expressed, implied or forecasted in such forward-looking statements. The Company does not intend, and the Company disclaims any obligation to update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

These forward-looking statements are based on a variety of factors and assumptions including, but not limited to: the condition of the Canadian and United States economies; the rate of appreciation of the Canadian dollar versus the U.S. dollar; the availability and prices of raw materials, energy and supplies; product pricing; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; adverse results from ongoing litigation; no expected actions of domestic and foreign governments and the general assumption that none of the risks identified under "Risk Factors" in the Company's 2007 Annual Information Form will materialize. These assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party industry analysts.

Actual results may differ materially from those predicted by such forward-looking statements. While the Company does not know what impact any of these differences may have on its business, results of operations, financial condition and the market price of its securities may be materially adversely affected. Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking statements are discussed more fully in the Company's Management's Discussion and Analysis which is available on SEDAR at www.sedar.com.

Other Matters

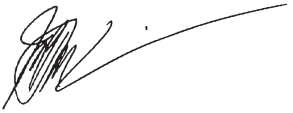
On April 23, 2008, Canada Bread Company, Limited declared a dividend of $0.06 per share payable on July 2, 2008 to shareholders of record on June 9, 2008. Unless indicated otherwise in writing at or before the time the dividend is paid, each dividend paid by the corporation in 2008 or a subsequent year is an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Canada Bread Company Limited, which is 88.0% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2007 sales of $1.5 billion and employs approximately 8,800 people at its operations across North America and in the United Kingdom.

For the Board of Directors,



Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman

April 24, 2008